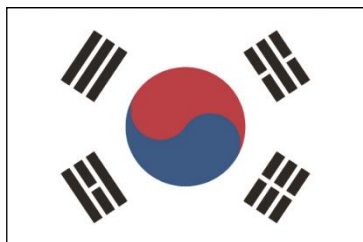


THE OECD TAX-BENEFIT MODEL FOR KOREA

Description of policy rules for 2020



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Description of policy rules for 2020

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Preface

The [OECD Tax-Benefit model \(TaxBEN\)](#) incorporates detailed policy rules for tax liabilities and benefit entitlements as they apply to individual families across OECD member countries. Its main use is to calculate the amount of taxes that people are liable to pay, and the government transfers they are likely to receive, in different family and labour-market situations. The model includes legal policy rules that are relevant for people of **working age** (from 18 years old until the statutory retirement age) and their dependent children. Income tax liabilities and benefit entitlements are calculated for a broad set of *stylised* families (“vignettes”, e.g. a married couple of 40 years old adults with two children aged 4 and 6 respectively). Model users are free to change many of these characteristics, including the age and number of children, activity status of adult members, hours of work, current and past earnings levels, unemployment duration, social contribution records, and housing-related costs. The model has been updated annually since the early 2000s for most OECD countries.

TaxBEN’s policy scope includes the main taxes on employment income (earnings), social contributions paid by individuals and by employers, as well as the main cash and near-cash benefit programmes, including unemployment benefits, family benefits, guaranteed minimum-income benefits, cash housing benefits, and employment-conditional benefits. Disability benefits and support for non-parental childcare are included for a sub-set of countries and years. The most important policy areas that are outside the scope of the model include taxes on wealth (e.g. taxes on immovable and unmovable properties, including local taxes), indirect taxes (e.g. VAT), early-retirement benefits, sickness benefits and in-kind transfers (e.g. free school meals, subsidised transport and free health care).

This report describes the taxes and benefits that are included in the model and focuses on the rules that are relevant for family, individual and labour-market circumstances that are within its scope. The **Annex** provides information on other cash benefits and taxes on employment incomes that can be relevant for some members of the working-age population, but which are not included in the TaxBEN model.

Reading notes and further details on the scope and content of this report

- The **reference date** for policy rules described in this report is **January 1, 2020**.
- **Guidelines for completing and updating this report** are provided [here](#).
- Further information on the model, model results, and references to reports and analytical uses is available on the [project website](#). A [methodology](#) document provides a full description of the assumptions underlying the model as well as the model choices that users can make. The symbol  in the text provides a link to a glossary of technical terms.
- Section titles provide the names of taxes and benefits as they are known in the country: first, direct translation into English, then (in brackets) the name in the national language.
- In order to facilitate transparency between the policy descriptions and the associated code in the model, the variable names are indicated in the text in square brackets using the following format: **[variable name]**, for instance: **[AW]** for the average wage.

The OECD tax-benefit model for Korea: Policy rules in 2020

1. Reference wages

The 2020 (preliminary) average wage **[AW]** is KRW 50 483 933 (Korean Won).¹

The minimum wage **[MIN]** in 2020 is KRW 8 590 per hour. The annual minimum wage of a full-time worker is computed by multiplying the minimum monthly wage by 209 working hours per month and by 12 months, i.e. $\text{KRW } 8\,590 \times 209 \times 12 = \text{KRW } 21\,543\,720$.

2. Unemployment benefits

Unemployment benefits can be categorized into two main groups:

1. Job-seeking Allowance which provides cash payments to maintain workers' standards of living and to facilitate their re-employment (see Section 2.1.), and
2. Employment Promotion Allowances, split into:
 - Early Re-employment Allowance, aimed to facilitate recipients' re-entry into a job (classified in the model as in-work benefit and described in Section 6.1.);
 - (Vocational) Skills Development Allowance, paid to those who participate in training from vocational training institutes (*not covered by the model*);
 - Wide-area Job-seeking Allowance, paid to those who are seeking jobs 50 km away from their residence (*not covered by the model*);
 - Moving Allowance, paid to those who move to another place to take jobs or training (*not covered by the model*).

2.1. Job-seeking allowance (구직급여)

Code in the OECD tax-benefit model:² **[UI_p; UI_s]**

This is an unemployment insurance benefit. It is contributory, not means-tested and not taxable. ⓘ

2.1.1. Eligibility conditions ⓘ

Age: There is no age limit in the eligibility for unemployment benefits, although those newly employed at the age of 65 and older are excluded from employment insurance.

Contribution/employment history: Must receive remuneration for 180 days or longer during 18 months before leaving a job (approximately 7 months considering unpaid leave).

OECD note: The model requires an individual to have at least 7 months of contributions to be eligible. In fact, assuming a 5-day workweek, if the number of days in which

¹ AW refers to the Average Wage estimated by the [Centre for Tax Policy and Administration](#). For more information on methodology see the latest [Taxing Wages publication](#).

² The variable names ending with “_p” refer to the first adult (so-called “principal” adult) whereas those ending with “_s” are related to the spouse.

remuneration is paid is 6 per week including paid holidays, the number of days in which remuneration is paid may fall short of 180 if we only consider 6 months.

Behavioural requirements and related eligibility conditions:  Must have willingness and capacity to work (those who voluntarily leave job and those who are dismissed due to their own faults are not entitled to unemployment benefits) and must engage in active job-search. TaxBEN assumes that these compulsory conditions are satisfied when simulating unemployment benefits.³

2.1.2. *Benefit amount*

The daily basic allowance is 60% of the daily wage. The daily wage is the amount calculated by dividing the wage paid in the last three months preceding unemployment by the total number of working days of the same three-month period. The benefit is paid 7 days a week.

The minimum benefit is computed in proportion to the prescribed daily working hours before severance. After an amendment in 2019, the minimum benefit was reduced from 90% of the minimum wage to 80%. Due to transitional provisions, if 90% of 2019 minimum wage is higher than 80% of relevant year minimum wage, the former is provided. Thus, the minimum benefit for 2020 is equal to 90% of 2019 minimum wage.

As a result, the minimum benefit in 2020 is KRW 30,060 per day if the prescribed daily working hours⁴ is less than 4 hours, KRW 60,120 for 8 or more hours (5 hours: KRW 37,575, 6 hours: KRW 45,090, 7 hours: KRW 52,605). The maximum benefit in 2020 is KRW 66,000 per day.

OECD note: The OECD calculations assume that the jobseeker worked full-time before losing the job. As a result, the minimum UI benefit that enters the calculations is equal to KRW 60,120. This value is then multiplied by 7 under the assumption that the benefit is paid for 7 days a week.

2.1.3. *Benefit duration*

The maximum duration of unemployment benefit ranges from 4 to 9 months, depending on the age of the recipient at the time of job loss and the period of contribution to the Employment Insurance System (EIS):

³ Details on behavioural requirements and sanction provisions for unemployment benefits are reported in regularly updated companion reports, see [Immervoll and Knotz \(2018\)](#), [Langenbucher \(2015\)](#) and [Venn \(2011\)](#).

⁴ Prescribed working hours are the working hours determined by the labour and management through employment contracts and collective agreements.

Age (years)	Job-Seeking Allowance duration (days) ⁵				
	Period of contribution to the EIS				
	Under 1 year	1 to under 3 years	3 to under 5 years	5 to under 10 years	10 years or more
Under 50	120	150	180	210	240
Over 50 (or disabled)	120	180	210	240	270

There is a 7 day waiting period (*not covered by the model*).

2.1.4. Means test

The benefit is not means-tested.

2.1.5. Tax treatment

The benefit is not taxable.

2.1.6. Interactions with other components of the tax-benefit system

Job-seeking allowance is included in the income test for means-tested benefits, such as National Basic Livelihood Security, housing benefit, and lone-parent support subsidy.

2.1.7. Combining benefit receipt and employment/starting a new job

If a recipient finds a job or earns income from the job he/she found, such an incident should be notified to the Employment Security Office. If a recipient's daily income exceeds daily job-seeking allowance, such days' allowance will be deducted from the total job-seeking allowance the recipient is originally entitled to. The payment of unemployment benefit is suspended in case the beneficiary gets re-employed and contributes to the EIS. The same applies if the beneficiary works 60 hours or more per month.

OECD note: The OECD calculations assume that the recipient of the Jobseeker's allowance who moves into work finds stable and permanent employment contributing to the unemployment insurance fund (EIS). As a result, the unemployment benefit is suspended and therefore the rules described in paragraph 2.1.7. are not applied. However, the jobseeker may be entitled to the Early Re-employment Allowance described in section 2.2. as they are assumed to find a steady job (i.e., a job that guarantees more than 12 months of continuous employment).

2.2. Early Re-employment Allowance (조기재취업수당)

Early Re-employment Allowance aims to facilitate the recipients' re-entry into a job.

Code in the OECD tax-benefit model: [\[WorkBonus_p; WorkBonus_s\]](#)

2.2.1. Eligibility conditions

The Early Re-employment Allowance is granted to persons who get a steady job before the job-seeking allowance expires. A steady job is a job that guarantees more than 12 months

⁵ Information derived from: <http://www.moel.go.kr/policy/policyinfo/safety/list3.do>.

of continuous employment; the number of working hours doesn't matter. When a person gets re-employed, a half or more days should be left until the end of job-seeking allowance.

2.2.2. *Benefit amount*

The benefit equals the amount equivalent to the daily job seekers' allowances multiplied by one half of the number of unpaid days.

OECD note: The model takes into account the annualized values of the various benefits. Hence, in order not to misrepresent the size of this allowance, TaxBEN divides the lump-sum value into a number of payments which are received by the recipient for the remaining months of duration of the Job-seeking allowance to which they were originally entitled.

In short, if an individual was originally entitled to 4 months of Job-seeking allowance (i.e. the duration for an individual younger than 50 and with less than 1 year of contribution to the EIS) and they take up employment after the first month of unemployment, they should be entitled to a lump sum transfer of:

$$\text{Lump sum amount} = 0.5 \times (4-1) \times (\text{monthly unemployment benefit amount})$$

$$\text{The pro rata amount is: Pro rata amount} = \text{Lump-sum} / (4-1)$$

Finally, the pro-rata amount is paid to the recipient for the residual months of the initial Jobseeking allowance duration (i.e. 3 months, according to the example above).

2.2.3. *Benefit duration*

The benefit is paid as a lump-sum amount.

2.2.4. *Means test*

Not means-tested.

2.2.5. *Tax treatment*

Tax exemption is granted as part of unemployment allowance.

2.2.6. *Interaction with other components of the tax-benefit system*

The benefit is included in the income test for means-tested benefits, such as National Basic Livelihood Security, housing benefit, and lone-parent support subsidy.

2.2.7. *Combining benefit receipt and employment/starting a new job*

The benefit is targeted at recipients of job-seeking allowance who start a new and steady job.

2.3. *Employment Success Package Programme*⁶ (취업성공패키지)

The Employment Success Package Programme (ESPP) is a form of employability support with a non-contributory benefit component (means-tested for some but not for others). The ESPP was introduced in 2009 and is operated by the Job Centre or contracted out to private employment agencies.

2.3.1. *Eligibility conditions*

ESPP was first introduced for low-income jobseekers only but later on expanded to also include other risk groups, some of them (notably eligible youth) irrespective of their income situation. ESPP reaches out to a number of target groups:

- Type I participants:
 - jobseekers with less than 60% of median income
 - various groups of disadvantaged jobseekers e.g. disabled people, lone mothers or youth at risk (with no income threshold)
 - conditional BLSP recipients.
- Type II participants:
 - jobseekers aged 35-64 (with up to 100% of median income)
 - young jobseekers under age 35 (without any income threshold).

2.3.2. *Benefit amount*

The programme consists of three stages, and the benefit amount varies depending on the stage:

1. First stage: it is mandatory and lasts 3 weeks. It consists in various counselling sessions to establish the profile of the jobseeker. If all the sessions are attended the individual receives a flat amount of KRW 150,000 and an additional one of KRW 100,000 for participating to further “special programmes” which are not mandatory.
2. Second stage: its purpose is to provide the vocational training and job experience needed to strengthen the participant’s employment competence. This stage can last for 6-8 months but is not obligatory if no training needs have been identified in the first stage. There is a tuition fee of around 3 million KRW which is covered by a subsidy (although some participants have a co-payment that varies between 5% and 50%). During the training, participants receive a training participation allowance of KRW 284 000 per month and a monthly support allowance of KRW 116 000 to cover expenses occurring during the period of vocational training.
3. Third stage: it is mandatory and lasts up to 3 months, it consists in intensive job placement services to find a job. During this period, individuals receive KRW 20,000 per month. Young recipients aged between 18 and 34 years old receive an

⁶ The information regarding this programme is derived from OECD report “Towards Better Social and Employment Security in Korea” (2018). Available here: <https://www.oecd.org/korea/connecting-people-with-jobs-towards-better-social-and-employment-security-in-korea-9789264288256-en.htm>

extra amount of 300,000 KRW per month. Moreover, if the recipient finds a stable job they receive three flat rate “employment success allowances” depending on how long they maintain that employment. The maximum amount that can be received in this way is KRW 1,5 million (KRW 300 000 after three months in the job, another KRW 400 000 after six months, and another KRW 800 000 after 12 months.). Only Type I participants are eligible to receive the employment success allowances.

OECD note: In the model, only the first and third stage are included, as the second stage is not mandatory and, hence, does not fall within the set of policies covered by the OECD tax-benefit calculator.

2.3.3. Benefit duration

The overall programme can last up to 12 months, although the benefits varies depending on the stage. It ends as soon as the participant finds a job. There is a possibility of re-referral after a suspension period of varying length.

2.3.4. Means test

The support is means-tested for some participants. For Type 1 jobseekers the sum of earned income, business income and capital income subject to income tax should be less than 60% of median income. For Type II jobseekers aged 35-64 the income should be below 100% of median income. For other groups, e.g. disabled people, lone mothers or youth the benefit is not means tested.

Standard median monthly income thresholds for different household compositions

in 2020 (unit : KRW)

No. of persons	1 person	2 persons	3 persons	4 persons	5 persons	6 persons	7 persons
median income 60%	1,054,316	1,795,188	2,322,346	2,849,504	3,376,663	3,903,821	4,433,829
median income 100%	1,707,008	2,906,528	3,760,032	4,613,536	5,467,040	6,320,544	7,174,048

2.3.5. Tax treatment

The benefit is not taxable.

2.3.6. Interaction with other components of the tax-benefit system

ESPP recipients are not entitled to receive any other unemployment insurance benefit, nor the livelihood component of the National Basic Livelihood Benefit.

2.3.7. Combining benefit receipt and employment/starting a new job

The benefit cannot be combined with employment. However, Type I participants (low-income jobseekers) who obtain a job of more than 30 hours a week which also has Employment Insurance coverage can receive an employment success allowance worth up to KRW 1.5 million in total. The allowance is paid in three instalments, as follows: KRW 300 000 after three months in the job, another KRW 400 000 after six months, and another KRW 800 000 after 12 months.

3. Social assistance and housing benefits

3.1. National Basic Livelihood Security (국민기초생활보장제도)

Code in the OECD tax-benefit model: [SA]

The government enacted the National Basic Livelihood Security (NBLs) Act in September 1999, and fully implemented the system in October 2000. The so-called “customized NBLs” was introduced in July 2015 to strengthen the previous NBLs program by providing customized aids for cost of living, medical services, housing, and education based on the needs of recipients.

NBLs is a non-contributory benefit, means-tested and not taxable.

3.1.1. Eligibility conditions

All people who live under the poverty line are provided financial benefit regardless of their working ability. Those aged 18 to 64 with work capability must participate in the self-help work program. The eligibility to NBLs benefits is based on recognized income, which is a combination of assessed income and converted property income (see Section 3.1.4.). For households consisting of only those without work capacity (such as elderly, severely disabled, etc.) a special rule exempting property from calculation of income is applied.

3.1.2. Benefit amount

The benefit amount is calculated as a difference between total net household income and the income criteria (see Section 3.1.4.).

3.1.3. Benefit duration

Benefit can be granted for unlimited time (as long as eligibility holds) and without a waiting period.

3.1.4. Means test

The recognised income of a recipient’s household should be less than the eligibility criteria. The criterion in 2020 equals 30% of the median income. The median income and the corresponding criteria for 2020 are:

Size of household (persons) ⁷	1	2	3	4	5	6
Median income (KRW, thousands per month)	1 757	2 992	3 870	4 749	5 628	6 506
Criterion for cost of living benefit (KRW, thousands per month)	527	898	1 161	1 425	1 688	1 952

Property value is converted into a monetary amount and added to the income amount (assumed to be negligible in the model).

⁷ Information derived from the Ministry of Health and Welfare: http://www.mohw.go.kr/react/policy/index.jsp?PAR_MENU_ID=06&MENU_ID=06350109&PAGE=9&topTitle=Standard%20median%20income.

The costs generated due to persons with disabilities, single parents, patients who require a long-term medical treatment are deducted from the earned income (*not covered by the model*).

Since 2019, 30% of all earned income is disregarded from the means-test to provide work incentives.

OECD note: Recognized income is determined by the sum of “assessed income” and “income converted from properties”:

Recognized income

$$= \text{Assessed income} + \text{converted income from properties}$$

In TaxBEN, the assessed income takes into account households’ earnings, as well as unemployment benefits and the Early re-employment allowance (multiplied by 0.7 to simulate the 30% disregard on all earned income introduced in 2019). The national Basic Livelihood Security (**Error! Reference source not found.**), the housing benefit for rented accommodations (**Error! Reference source not found.**), the child benefit (2.3.), and the lone-parent support subsidy (**Error! Reference source not found.**) are not included in the computation of the assessed income. Income tax and out-of-pocket payments for medical insurance premium and unemployment insurance are not deducted from assessable income, while 75% of out-of-pocket national pension contributions are deducted.

Assessed income

$$\begin{aligned} &= 70\% \text{ of household earnings from work} \\ &+ \text{unemployment insurance amount} \\ &+ \text{early reemployment allowance} \\ &- 75\% \text{ of national pension contributions} \end{aligned}$$

The converted (i.e., imputed) income from properties should consist in the total property value minus the value of fundamental properties, minus the liabilities, and multiplied by the income conversion rate. However, in the model, the converted income from properties **is always equal to zero**.

Once the Assessed Income has been computed in accordance with the formula provided above, the eligibility to the SA is established by comparing the amount computed to the eligibility criterion for the reference household. Finally, the benefit amount is computed by subtracting the computed Assessed Income from the eligibility criterion for the household.

Example:

Let’s simulate the case of a single individual without children currently in employment earning 6,582,965 KRW per year. This individual is not receiving any Re-employment allowance. His assessed income is:

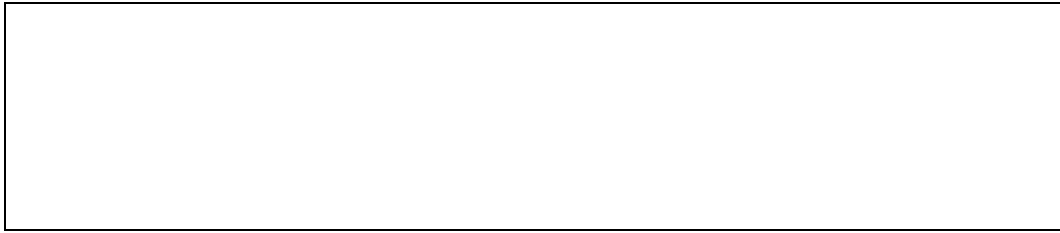
Assessed income

$$\begin{aligned} &= 70\% \text{ of household earnings from work} \\ &- 75\% \text{ of national pension contributions} \\ &= 6,582,965 * 0.7 - 0.75 * (296,233) = 4,385,901 \text{ KRW} \end{aligned}$$

Hence, our individual is eligible to receive the National Basic Livelihood Security as their assessed income is below the criteria of 6,324,000 KRW per year. The amount of NBLS that they receive during a year is:

$$\text{NBLS} = 6,324,000 - 4,385,901 = 1,938,099 \text{ KRW}$$

In conclusion, our individual receives a NBLS of 1,938,099 KRW per year.



3.1.5. Tax treatment

The benefit is not taxable.

3.1.6. Interaction with other components of the tax-benefit system

NBLS supplements all other support for those who cannot maintain the basic standards of living on their own or even after receiving all possible support from the people with support obligations and other sources, including government benefits and allowances. A person who receives job-seeking allowance is not eligible for NBLS.

OECD note: The *TaxBEN* model assumes that support from the people with support obligations is not forthcoming.

Moreover, an individual who claims the NBLS cannot claim the child-rearing support subsidy (including the additional child-rearing support subsidy), nor the living cost assistance subsidy (both included in the Lone-parent Support subsidy). The educational benefits under the NBLS cannot be received by the claimant if they are already receiving the child-education support subsidy included in the Lone Parent Support Subsidy.

OECD note: in *TaxBEN*, the NBLS is only considered with respect to the livelihood and housing benefit components, as the educational benefit depends on the school expenditures. Hence, no overlapping occurs with respect this particular component of the Lone Parent Support Subsidy.

3.1.7. Combining benefit receipt and employment/starting a new job

As mentioned in section 3.1.4. , since 2019, 30% of all earned income is disregarded from the means-test to provide work incentives. Moreover, 10-50% of the income earned by the disabled in the "Job Rehabilitation Programmes", "Self-Support Cooperative", students, the elderly is deducted from the earned income to encourage work among the recipients (*not covered by the model*).

3.2. Housing benefit for rented accommodation (주거급여)

Since 2000, housing benefit was provided as part of the National Basic Livelihood Security (NBLS). The benefit was a fixed subsidy based on household income and the number of people in the household. In 2014, the Korean government passed the new Housing Benefit Act to relieve the rent burden and to ensure the minimum housing standard for vulnerable households. It transformed housing benefit into a stand-alone programme. The monthly cash subsidy is based on household income, rent level, family size, and location. Locations are divided into four categories: Seoul, Seoul Metropolitan Area, other metropolitan areas, and small cities and rural areas.

This is a non-contributory benefit, means-tested and not taxable.

Code in the OECD tax-benefit model: [\[HB\]](#)

3.2.1. Eligibility conditions

Households whose recognized income level is 45% or less of median income are eligible for the housing benefit.

The income limits⁸ in 2020 are:

Size of household (persons)	1	2	3	4	5	6
Recognized income level (KRW, ten thousands per month)	79	135	174	214	253	293

3.2.2. Benefit amount

- Households in rental housing: the benefit amount is based on the minimum residential criteria; standard rental fees are calculated according to region and the number of family members.

Housing benefit⁹ (Thousand KRW), 2020:

Household size \ Region	Grade 1	Grade 2	Grade 3	Grade 4
	Seoul	Gyeonggi-do Incheon	Metropolitan city, Sejong-si	Other region
1	266	225	179	158
2	302	252	198	174
3	359	302	236	209
4	415	351	274	239
5	429	365	285	249
6	504	430	331	291

The values for Seoul are used in the model.

- Owner-occupied households (*not covered by the model*): housing repair cost is supported after housing deterioration level is established:

⁸ Information derived from page 11 of: http://www.bokjiro.go.kr/gowf/wel/welsvc/FileDown.do?svFileNm=WELSVC_202101071553520.pdf&fileMg=16034926&fileWhlRouteNm=/upload_data/AC/service01/.

⁹ Information derived from page 41 of: http://www.bokjiro.go.kr/gowf/wel/welsvc/FileDown.do?svFileNm=WELSVC_202101071553520.pdf&fileMg=16034926&fileWhlRouteNm=/upload_data/AC/service01/.

Type of repair	Light repair	Medium scale repair	Large scale repair
Amount of benefit (KRW, million)	4.57	8.49	12.41
Repair cycle	3 years	5 years	7 years

3.2.3. Benefit duration

Benefit is provided on a continuous basis as long as eligibility conditions are met.

3.2.4. Means test

The recognized income of a recipient's household should be less than the eligibility criteria (45% of the median income).

OECD note: The definition of Recognized Income is similar to the same adopted for the National Basic Livelihood Security, in section **Error! Reference source not found.** An individual can cumulate the housing benefit and the Employment Success Package Programme (ESPP), while they cannot cumulate the livelihood benefit under the NBLS with it. In the definition of recognized income considered for the housing benefit, the job search promotion subsidy is **not accounted for** as part of transfer income.

The definition of assessed income in this case is as follow:

Assessed income
 = 70% of gross earnings from employment of the principal
 + gross earnings from employment of the spouse
 + jobseeking allowance (if any)
 + early reemployment allowance (if any)
 – 75% of national pension contributions

Note that some of the income components listed above may not be relevant depending on the characteristics considered for the family.

3.2.5. Tax treatment

Benefits are not taxable.

3.2.6. Interaction with other components of the tax-benefit system

Housing benefits are offered regardless of other social welfare benefits.

3.2.7. Combining benefit receipt and employment/starting a new job

See Section 3.1.7.

4. Family benefits

4.1. Child benefit (아동수당)

This is a non-contributory benefit, not means-tested and not taxable, introduced in September 2018.¹⁰

4.1.1. Eligibility conditions

Paid for children under the age of 7.

4.1.2. Benefit amount

KRW 100 000 per eligible child and month.

4.1.3. Benefit duration

As long as the eligibility conditions hold.

4.1.4. Means test

None.

4.1.5. Tax treatment

The benefit is not taxable.

4.1.6. Interaction with other components of the tax-benefit system

None.

4.1.7. Combining benefit receipt and employment/starting a new job

Not applicable.

4.2. Lone-parent support subsidy (한부모 가족지원금)

Code in the OECD tax-benefit model: [\[LPB\]](#)

This is a non-contributory benefit, means-tested and not taxable.

4.2.1. Eligibility conditions

Recipients must satisfy the following conditions in order to be recognized as eligible lone-parent households:

- A household must consist of the head of household (mother/grandmother or father/grandfather) and children aged less than 18 (22 if attend a school);
- Recognized income (see section 4.2.4. for the definition) should be less than 52% of the moderate livelihood cost (60% if a parent is 24 years old or younger).

Income thresholds (in KRW per month) for Lone-Parent Support Subsidy in 2020 are:

¹⁰ [OECD taxing wages 2020](#) [accessed 1.2.2021]

Number of family members		2	3	4	5	6
Lone-parent or grandparent	(52% of the NBLS)	1,555,830	2,012,700	2,469,570	2,926,441	3,383,311
Youth lone-parent (less than 24)	(60% of the NBLS)	1,795,188	2,322,346	2,849,504	3,376,663	3,903,821

4.2.2. Benefit amount

The following benefits are available to lone parents:

- Child-rearing support subsidy: KRW 200 000 a month for children aged less than 18 if the parent is 25 years old or older (younger parents benefit from higher payments, see below);
- Additional child-rearing support subsidy: KRW 50 000 a month for children aged less than 5, and who are parented by grandparents or unmarried single-parent aged 25 years old or above;
- Child education support subsidy (school supplies): KRW 54 100 a year for children who are enrolled in middle school or high school;
- Living cost assistance subsidy: KRW 50 000 a month for families living in lone-parent facilities (*not covered by the model*);
- Education support subsidy: entrance and enrolment fees for high school students who are from lone-parent family (*not covered by the model*).

In addition, there are benefits targeted specifically at young (24 year old or younger) lone-parents:

Subsidy Type	Child-rearing (for all children under 18 years old)	School Qualification Exam	High School Education	Financial Independence Boost
Amount (KRW)	350 000 per month	Less than 1 540 000 per year	Actual costs (maximum 5 000 000 per year)	100 000 per month
Household Income Threshold	Less than 60% of the NBLS (Except recipients of the livelihood benefits)	Less than 60% of the NBLS	53- 60% of the NBLS (Except recipients of education benefits)	Less than 60% of the NBLS

Out of the benefits mentioned in the table only child-rearing subsidy is covered by the model.

4.2.3. Benefit duration

As long as the eligibility conditions hold.

4.2.4. Means test

The benefit is means-tested on the basis of the mechanism described in section 4.2.1. .

OECD note: The definition of Recognized Income is similar to the one adopted for the National Basic Livelihood Security, in section **Error! Reference source not found.** An individual can cumulate the Lone-parent support subsidy and the Job search promotion subsidy from the National Employment Support Programme (NESP), while they cannot cumulate the livelihood component of the NBLs with the Job search promotion subsidy from the NESP. However, in the definition of recognized income considered for the Lone-parent support subsidy the Job search promotion subsidy is **not accounted for** as part of the income from work. Moreover, the 30% discount rate for earned incomes **is not** applied to the computation of the Assessed income for the Lone-parent Support Subsidy.

The definition of assessed income in this case is as follow:

Assessed income

= gross earnings from employment of the household
 + jobseeking allowance (if any)
 + early reemployment allowance (if any)
 – 75% of national pension contributions

Note that some of the income components listed above may not be relevant depending on the characteristics considered for the family.

4.2.5. Tax treatment

The benefit is not taxable.

4.2.6. Interaction with other components of the tax-benefit system

None.

4.2.7. Combining benefit receipt and employment/starting a new job

Earned income is included in the means test.

4.3. Child care allowance for children not using child care centers

Code in the OECD tax-benefit model: [\[hca\]](#).

In the model, this benefit is classified as part of Family benefits [\[FB\]](#).

To reduce burden of parents who do not enroll their children into childcare centers and to enhance fairness in the provision of the subsidies, the Korean government introduced the child care allowance for non-users of childcare centers in July 2009.

4.3.1. Eligibility conditions

The benefit is provided to households with children under 86 months (i.e. 7 years old) not using childcare centers.

4.3.2. Benefit amount

In 2021, the government provided the following allowances regardless of household income levels for all children under 86 months (i.e. 7 years old) not using childcare centers:

Child's age (months)	0-11	12-23	24-86
Childcare allowance (KRW per month)	200 000	150 000	100 000

4.3.3. *Benefit duration*

The benefit is provided until there are eligible children.

4.3.4. *Means test*

Not applicable.

4.3.5. *Tax treatment*

The benefit is not taxable.

4.3.6. *Interaction with other components of the tax-benefit system*

None.

4.3.7. *Combining benefit receipt and employment/starting a new job*

None.

5. Net costs of Early Childhood Education and Care

The **reference date** for the policy rules described in this section is **1 January 2020**.

5.1. *Gross childcare fees*

Code in the OECD tax-benefit model: [\[RKcc_cost\]](#)

Average child-care fees paid by parents are affected by such aspects as the child's age and the type of facilities. Types of childcare facilities are divided into those supported by the government (state-run, public, corporate childcare facilities) and not supported by the government (private childcare facilities). In 2020, monthly child-care fees are: KRW 470,000 per month for a child less than 1 year old, KRW 414,000 for 1 year old, KRW 343,000 for 2 years old, and KRW 240,000 for 3-5 year old per month.

For children between the ages of 3-5, the government provides KRW 240,000 per month in childcare fee subsidies. For state-run and public childcare facilities, the monthly childcare fee paid by parents is KRW 240,000, which is fully covered by the government.

For private childcare facilities, childcare fees differ depending on the region and the child's age, but the average rate is KRW 292,134. The government covers KRW 240,000 and the parents pay the rest out of pocket.

5.1.1. *Discounts for part-time usage*

Childcare fees for part-time use are lower than for full-time use. Part-time childcare service is limited to a maximum of 6 hours between 9 AM and 3 PM.

For part-time use, the government provides monthly childcare fees of KRW 367,000 for children with less than 1 year old, KRW 322,000 for 1-year old, and KRW 268,000 for 2-

year old (as of 2020). Part-time fees are not available for children aged between 3 and 5 years old.

5.2. Fee discounts and free provision

The government supports facilities by providing subsidies for operating the facility such as labour costs. This makes child-care fees at government-supported facilities cheaper than in unsupported facilities. For example, child-care fees for 5 year-olds are KRW 240 000 for government-supported facilities, and KRW 348 000 for unsupported facilities in Seoul (*not covered in TaxBEN*)

5.3. Child-care benefits for formal centre-based care

Code in the OECD tax-benefit model: [\[cc_benefit\]](#)

5.3.1. Eligibility

All families with children up to 5 years old attending childcare are eligible.

5.3.2. Benefit amount

Childcare benefits completely offset childcare costs for parents of children aged 0 to 5 using facilities supported by the government regardless of household income.

Support for children from 0 to 2 years old:

The childcare benefits are provided for 0-2 year olds who attend childcare. The government provides support to all households with 0 to 2 year-olds regardless of household income levels since 2013. In 2020, the standard amount of support per month was set at KRW 470,000 for children less than one year of age, KRW 414,000 for one year olds, KRW 343,000 for 2 year olds.

In case of part-time childcare, the benefits match the respective fees. In fact, the part-time childcare benefit amount per month in 2020 was KRW 367,000 for children with less than one year of age, KRW 322,00 for one year olds, and KRW 268,000 for 2 years old.

Support for children from 3 to 5 years old:

In the past, the childcare benefits for 3-5 year olds were provided for those using childcare facilities and kindergartens. However, since March 2012, with the introduction of the Nuri Course, recipients have expanded to include all households with 5-year olds regardless of household income level. In March 2013, Nuri Course was expanded to include 3-4 year olds without regard to their household income level. The total monthly benefits provided to an eligible child amount to KRW 240 000.

There is additional support for children with disabilities (*not covered by the model*).

OECD note: The model summarises childcare fees and the corresponding subsidies as follow:

Age of the child	Full-time childcare fees (in KW)	Full-time childcare subsidies (in KW)	Part-time childcare fees (in KW)	Part-time childcare subsidies (in KW)
<1	470,000	470,000	367,000	367,000

1	414,000	414,000	322,000	322,000
2	343,000	343,000	268,000	268,000
3-5	240,000	240,000	240,000	240,000

5.3.3. *Benefit duration*

As long as eligibility holds.

5.3.4. *Means test*

Childcare benefits are provided for 0-5 year olds without regard to income levels.

5.3.5. *Tax treatment*

Child-care fee supported by the government is not taxed.

5.3.6. *Interaction with other benefits*

None.

5.3.7. *Combining benefit receipt and employment/starting a new job*

No restrictions.

5.4. *Child care allowance for children not using child care centers*

Code in the OECD tax-benefit model: [\[hca\]](#).

In the model, this benefit is classified as part of Family benefits [\[FB\]](#). For this reason, the benefit is also described in section 4.3. of this report.

To reduce burden of parents who do not enroll their children into childcare centers and to enhance fairness in the provision of the subsidies, the Korean government introduced the child care allowance for non-users of childcare centers in July 2009. In 2020, the government provided the following allowances regardless of household income levels for all children under 86 months (i.e. 7 years old) not using childcare centers:

Child's age (months)	0-11	12-23	24-86
Childcare allowance (KRW per month)	200 000	150 000	100 000

5.5. *Tax concessions for childcare expenditures*

The childcare expenditures related specifically to the education fees paid for children can be deducted from the tax on an employee's income under the tax laws.

5.5.1. *Eligibility*

An employee with wage and salary income who is a Korean tax resident is entitled to benefit from the above-mentioned tax credit (one of the special tax credits), where he or she paid the education fees for his or her child/children.

5.5.2. *Maximum amount*

The maximum amount to be credited is KRW 450 000. At first, the relevant education fees paid by the employee for his or her child are taken into account in the calculation of the amount within the scope of tax credit, up to KRW 3 million per a child. The relevant education fees mean the education expenses paid to child-care facilities, kindergarten, private teaching institutions, and sports facilities provided under the relevant rules and regulations. Then, the amount is subject to 15% credit rate.

OECD note: Although this tax concession could be applied to any education-related expenditures incurred by parents, in TaxBEN we only consider the expenditures incurred for the use of childcare. Moreover, in the model the use of public childcare is assumed, which is provided to all children up to 5 years old for free. Thus, in the model the amount of tax credit is zero.

5.5.3. *Variation by income*

There is no variation by income.

5.5.4. *Impact on overall income tax calculation*

The tax concession is made by the form of a tax credit, which could directly reduce the taxpayer's amount of tax paid.

6. In-work benefits

This section describes the following in-work benefits, which are aimed at creating incentives for employment and re-employment: Early Re-employment Allowance (described in Section 6.1. and Earned Income Tax Credit (described in Section 6.2.). Other major programmes to support employed which are not covered by the model are described in the Annex.

6.1. *Early Re-employment Allowance (조기재취업수당)*

This benefit is described in section 2.2. as it is linked to the Job seeking allowance.

6.2. *Earned Income Tax Credit (근로장려금)*

Code in the OECD tax-benefit model: [\[EIC_j\]](#)

Earned Income Tax Credit (EITC) was introduced on 1 January 2008 (the actual benefits to be made from 2009) to encourage low-income earners' participation in the labour market and to provide them with income support.

In the model the EITC is simulated in the income reference year, i.e. as if it is paid out by the end of the year for which the income is assessed.

6.2.1. *Eligibility conditions*

A Korean tax resident with either wage and salary income, business income or income for clergy is eligible for filing an application for EITC, if he or she ("the applicant") meets all the following requirements.

a) Income requirement: the sum of the annual income earned by the applicant and his/her spouse shall be less than the threshold provided under the tax law.

b) Wealth requirement: the total value of the specified properties held by the applicant and all of his/her household members shall be less than KRW 200 million (*assumed to be satisfied in the model*).

The applicant should be a Korean national and cannot be a dependent child of any other Korean tax resident (*assumed to be satisfied in the model*).

6.2.2. Benefit amount

In 2020, the EITC is calculated in the following way:

Household type	Gross income from employment (X) (KRW, million per year)	Stage	Amount of EITC (KRW, million per year)
Single person	Less than 4	Phase-in	$150/400 \times X$
	4-9	Plateau	1.5
	9-20	Phase-out	$1.5 - (X - 9) \times 150/1100$
One-earner household	Less than 7	Phase-in	$260/700 \times X$
	7-14	Plateau	2.6
	14-30	Phase-out	$2.6 - (X - 14) \times 260/1600$
Dual-earner household	Less than 8	Phase-in	$300/800 \times X$
	8-17	Plateau	3
	17-36	Phase-out	$3 - (X - 17) \times 300/1900$

6.2.3. Benefit duration

The eligibility for EITC benefit is assessed every year.

6.2.4. Means test

The eligibility and the amount of the EITC depend on both total annual income and wealth of the applicant and all of his/her household members. The total value of properties such as land, buildings, vehicles, and savings shall not exceed KRW 200 million as mentioned in 6.2.1. The total income thresholds are as follows.

Household type	Definition	Threshold (million in KRW)
Single person	A household that consists of neither spouse nor dependent child	20
One-earner household	1) A household where a spouse has less than KRW 3 million of annual income, or 2) A household that consists of no spouse but a dependent child or a parent aged over 70	30
Dual-earner household	A household that consists of a spouse and/or a dependent child/children, and the spouses' annual income is at least KRW 3 million per year	36

The amount of the credit is income-dependent. The calculations can be divided into three stages based on working income level: phase-in range, flat range and phase-out range. In the phase-in range, the EITC increases at a fixed rate as working income increases. In the flat range, the maximum amount is achieved and it is paid regardless of increase in working

income. After that, in the phase-out range the EITC decreases at a fixed rate as working income increases until it reaches zero.

6.2.5. Tax treatment

The benefit is not taxed.

6.2.6. Interaction with other components of the tax-benefit system

The mere fact that a person is eligible for NBLS does not exclude the entitlement to benefit from the EITC. Therefore, a household who receives NBLS can simultaneously obtain EITC.

6.3. Child Care Tax Credit (자녀장려금)

Code in the OECD tax-benefit model: [\[CTC_ㅈ\]](#)

Child Care Tax Credit (CTC) was introduced on 1 January 2014 (the actual benefits to be made from 2015) to support childcare expenses for low-income earners. In the model, CTC is implemented since 2014.

6.3.1. Eligibility conditions

A Korean tax resident with either wage and salary income, business income or income for clergy is eligible for filing an application for CTC, if he or she meets all the following requirements.

- a) Dependant requirement: the applicant shall have a dependent child /children
- b) Income requirement: the sum of the annual income earned by the applicant and his/her spouse shall be less than KRW 40 million
- c) Wealth requirement: the total value of the specified properties held by the applicant and all of his/her household members shall be less than KRW 200 million (*assumed to hold*).

The applicant should be a Korean national and cannot be a dependent child of any other Korean tax resident.

6.3.2. Benefit amount

In 2020, the CTC was calculated in the following way:

Household type	Gross income from employment (X) (KRW, million per year)	Amount of CTC (KRW, million per year)
One-earner household	Less than 21	Number of children × 0.7
	Over 21, up to 40	Number of children × $[0.7 - (X - 21) \times 20/1900]$
Dual-earner household	Less than 25	Number of children × 0.7
	Over 25, up to 40	Number of children × $[0.7 - (X - 25) \times 20/1500]$

This is, in principle, a refundable tax credit.

6.3.3. Benefit duration

The eligibility for CTC benefit is assessed every year.

6.3.4. Means test

The eligibility and the amount of the CTC depend on both total annual income and wealth of the applicant and all of his/her household members (see section 6.3.1.).

6.3.5. Tax treatment

The benefit is not taxed.

6.3.6. Interaction with other components of the tax-benefit system

An individual eligible for the NBLS is not excluded by default from the entitlement to the CTC.

7. Social security contributions and payroll taxes

7.1. Employee social security contributions (가입자 기여금)

Variable names: [\[P_SocSec\]](#); [\[S_SocSec\]](#)

National pension contribution rate is 4.5% of the standardised average monthly wage income (see TaxBEN note below). The scope of the standardised average monthly wage income is from KRW 310 000 to KRW 4 860 000 as of 1 July 2019.

If the average monthly wage income of a person is less than KRW 310 000, it is regarded as KRW 310 000. If the average monthly wage income of a person is more than KRW 4 860 000, it is regarded as KRW 4 860 000.

Medical insurance premium, which has a rate of 3.6768375% (health insurance of 3.335% and long-term care insurance, which equals 10.25% of the latter), is levied on average monthly wage income. The scope of the monthly medical insurance premium (excluding Long term care insurance premium) is from KRW 9 300 to KRW 3 322 170. To include Long term care insurance, we should multiply the aforementioned amounts by 1.1025. Thus, the scope of the total monthly premium is from KRW 10 253 to 3 662 692. If the calculated premium is less than KRW 10 253, the worker should pay KRW 10 253. Likewise, if the calculated premium is more than KRW 3 662 692, the worker only pays KRW 3 662 692.

Unemployment insurance is 0.8% of standardised average monthly wage income. There are no maximum nor minimum limits to the amount of unemployment insurance contribution that could be paid by the employee.

OECD note: The standardized average monthly wage income is based on the “remuneration” earned by the employee, which is the amount of earnings remaining after deducting non-taxable income components, such as unemployment benefits, social assistance and housing benefits, and family benefits. This amount is then divided by the number of working months in the preceding year. In the calculations, the standardised average monthly wage income described above is approximated by the OECD Average Wage measure for Korea.¹¹

¹¹ See Section 1. For more information on the calculation of the OECD average wage measure see the methodology annex of the [‘Taxing Wages’ publication](#).

7.2. Employer social security contributions (사용자 부담금)

Variable names: `[SSCR_p; SSCR_s]`

National pension contribution rate and its application is the same as for employees.

Medical insurance premium rate and its application is the same as for employees.

Unemployment insurance is between 1.05% and 1.65% of gross income. In the model, 1.05% is used.

Work injury insurance consists of an industry-specific rate which is set by the Ministry of Employment and Labour multiplied by total wage. In the model the average rate of all industries is used, which in 2020 equals 1.56%.

8. Taxes

Each individual is taxed on his/her own income.

8.1. Personal income tax (소득세)

Code in the OECD tax-benefit model: `[INC_TAX_p; INC_TAX_s]`

8.1.1. Tax allowances

Employment Income Allowance: the following deduction from gross income is allowed for wage and salary income earners, up to 20 000 000:

Gross Wage and Salary (KRW per year)	Deduction (KRW per year)
Up to 5 000 000	70% of the salary
5 000 000 to 15 000 000	3 500 000 + 40% of the salary over 5 000 000
15 000 000 to 45 000 000	7 500 000 + 15% of the salary over 15 000 000
45 000 000 to 100 000 000	12 000 000 + 5% of the salary over 45 000 000
Over 100 000 000	14 750 000 + 2% of the salary over 100 000 000

Personal allowance: personal allowance consists of basic deduction and additional deduction as follows.

Basic deduction: a taxpayer can deduct KRW 1 500 000 from his/her income for each person who meets one of following conditions (but not applied to part-time workers):

- Taxpayer him/herself;
- Taxpayer's spouse whose taxable income is less than KRW 1 000 000;
- Taxpayer's (including the spouse's) dependants (e.g. parents, children) within the same household satisfying income and age requirements. The taxable income of each dependant shall be less than KRW 1 000 000 and the age of each dependant shall be as follows:
 - parents: aged 60 years or older (*not covered by the model*);
 - brother/sister: aged 60 years or older or 20 years or under (*not covered by the model*);
 - children: aged 20 years or under.

Additional deduction: a taxpayer can deduct KRW 1 000 000 (KRW 500 000 in the case of c), KRW 2 000 000 in the case of b)) from his/her gross income when the taxpayer or his/her dependants fall into the following categories:

- a) a person aged 70 years or older (*not covered by the model*);
- b) a handicapped person (*not covered by the model*);
- c) a female wage earner who is either the head of a household with dependents (but without a spouse) or a female wage earner with a spouse;
- d) a single parent with lineal descendants or adopted children who are eligible for the above-mentioned basic deduction*.

※ Where both the categories c) and d) are simultaneously met, only the condition d) shall be applied for the purpose of taxation.

Allowance for national pension contribution: Employees can deduct the total amount of their national pension contributions.

Special and Other income deduction: Employees may deduct some expenses, subject to the specified requirements and limitations, such as compulsory insurance premiums (e.g. national health insurance, employment insurance). In the case in which these deductions are not exercised, the individual can take advantage of the Lump-sum tax relief. These income deductions are included in the model.

Moreover, employees may also deduct personal pension savings, long-term collective investment security savings, interest payments on the mortgage loans, the consumption amounts spent by way of credit/debit card, and so on. These deductions are not covered by the model.

8.1.2. Tax base

Tax base is calculated by deducting employment income deduction, personal allowance (basic deduction and additional deduction), allowance for national pension contribution and other income deduction (as explained above) from the gross employment income.

8.1.3. Income tax schedule

The following tax schedule is applied to the income starting on 1 January 2018:

Tax Base (KRW per year)	Tax rate (%)
Up to 12 000 000	6
Over 12 000 000, up to 46 000 000	15
Over 46 000 000, up to 88 000 000	24
Over 88 000 000, up to 150 000 000	35
Over 150 000 000, up to 300 000 000	38
Over 300 000 000, up to 500 000 000	40
Over 500 000 000	42

8.1.4. Tax credits

Employees are entitled to tax credit for wage and salary income, child tax credit, pension account tax credit, special tax credit for the specified payments (e.g. private insurance premiums, medical expenses, education expenses and qualified donation), and tax credit for house rent from the tax on their income, subject to the specified limitation under the tax rules.

Working tax credit:

Wage and salary income earners obtain the following tax credit:

Calculated tax	Amount of tax credit
Up to KRW 1 300 000	55% of calculated tax
Over KRW 1 300 000	KRW 715 000 plus 30% of the calculated tax over KRW 1 300 000

Total wage and salary income	Ceiling on credit amount
Not more than KRW 33 million	KRW 740 000
Not more than KRW 70 million	The greater of KRW 660 000 and KRW 740 000 - [(total wage and salary income - KRW 33 million)*0.8%]
Exceeding KRW 70 million	The greater of KRW 500 000 and KRW 660 000 - [(total wage and salary income - KRW 70 million)* 50%]

Child tax credit:

- If an employee has a child/children within the scope of the above-mentioned basic deduction, the employee is allowed to gain child tax credit in the amount of KRW 150 000 per a child. But where the number of dependent children are three or more, the child tax credit is determined as KRW 300 000 plus KRW 300 000 per each from the third child.
- Child tax credit is applied from children aged 7 or above.
- An employee can also get the extra child tax credit for birth or adoption of a child (KRW300 000 with a child, KRW 500 000 with two children, and KRW 700 000 with three or more children) in the taxable year (*not covered by the model*).

Lump-sum tax relief (Standard tax credit):

KRW 130 000 of tax credit per year is available to an employee where a special income deduction, special tax credit or tax credit for house rent are not applied.

8.2. Local income tax (지방소득세)

The local income tax is a local tax that is levied on the income of individuals and corporations by metropolitan cities and municipalities. It is divided into individual local income tax and corporate local income tax. As it was converted from a surtax (10% of the income tax paid to the central government) to an independent tax in 2014, the tax base is shared, but the tax rate and tax deductions or exemptions are set separately. In TaxBEN, only the individual local income tax is modelled.

8.2.1. Local income tax schedule

The following tax schedule is applied to the income starting on 1 January 2021:

The local income tax	Tax Base (KRW per year)	Tax rate (%)
	up to 12,000,000	0.6%

Individual local income tax	Over 12,000,000, up to 46,000,000	1.5%
	Over 46,000,000, up to 88,000,000	2.4%
	Over 88,000,000, up to 150,000,000	3.5%
	Over 150,000,000, up to 300,000,000	3.8%
	Over 300,000,000, up to 500,000,000	4.0%
	Over 500,000,000, up to 1000,000,000	4.2%
	Over 1000,000,000	4.5%
Corporate local income tax	up to 200,000,000	1.0%
	Over 200,000,000, up to 20,000,000,000	2.0%
	Over 20,000,000,000, up to 300,000,000,000	2.2%
	Over 300,000,000,000	2.5%
Elasticity in the tax rates	Each government can increase or decrease 50% of the tax rate	

8.2.2. Tax credits and deductions

- Individual local income tax: Under the Income Tax act and the Special Tax treatment control law, 10% of the amount of tax deductions and exemptions is deducted or exempted;
- Corporate local income tax: No tax deductions or exemptions.

9. Selected output from the OECD tax-benefit model (TaxBEN)

This section shows selected output of the TaxBEN model for Korea 2020 (Figure 7). TaxBEN by default produces the following output: 1) net household incomes (**black lines**) and 2) related income components (**coloured stacked areas**) for selected family and individual circumstances (e.g. a lone parent working at different earnings levels with two children aged 4 and 6 respectively – users are free to select many of these circumstances). The model and the related web calculator is accessible from the [project website](#). Figure 7 shows outputs for four scenarios:

- By percentage of the average wage (**Panel A**);
- By unemployment duration (in months) for a jobseeker claiming unemployment benefits (**Panel B**);
- By previous gross earnings levels for a jobseeker claiming unemployment benefits (**Panel C**);
- By previous employment record, for a jobseeker claiming unemployment benefits (**Panel D**).

The stacked areas shows the household income components. Note that each component can contain more than one benefit. The table of content of this report describes which benefit is included in each category.

Results in Figure 7 refer to a couple with two children. Adults are both 40 years old whereas children are 4 and 6 years old respectively. Social assistance and housing benefit supplements are assumed to be available in all the four scenarios provided that the necessary income and eligibility requirements are met. Where receipt of social assistance or other benefits is subject to activity tests (such as active job-search or being available for work), these requirements are assumed to be met.

Panel A assumes that one of the two adult members (the ‘second adult’, using the TaxBEN terminology) is out of work and not eligible for unemployment benefits (e.g. because they have expired) whereas the other adult member (so-called ‘first adult’) is employed full-time and full-year at different earnings levels ranging between 0 and 200% of the Average Wage (AW). When earnings of the first adult are precisely 0% of the AW this person is assumed to be out of work without receiving unemployment benefits but claiming social assistance, as applicable.

Panels B to D assume that the second adult is out of work and not eligible to unemployment benefits whereas the first adult is also out of work and claiming unemployment benefits. In Panel B and C the first adult is assumed to have a ‘long’ employment record of 264 consecutive months before the job loss. The x axis in Panel B measures the time of benefit receipt, starting from the first month. The x axis in Panel C shows the amount of previous gross earnings (before any social contribution payments). Results in Panels C and D refer to the 2nd month of unemployment benefit receipt whereas Panel D consider the case of previous earnings equal to the average Wage. Previous earnings in Panel B are also equal to the average wage.

Figure 1. Selected output from the OECD tax-benefit model

Couple with two children.



Source: Calculations based on the OECD tax-benefit model. 2020 policies

Annex 1: Other benefits and direct taxes

This section provides a brief description of other cash benefits and taxes on employment incomes in Korea that are relevant for some members of the population below the statutory retirement age, but which are not included in the OECD tax-benefit model.

1. *Mutual Aid for Youths* (청년내일채움공제)

Mutual Aid for Youths is aimed to encourage more young job seekers to obtain jobs from SMEs and promote their long-term employment by helping them accumulate wealth. In addition to the existing two-year plan, a three-year plan which allows youth to accumulate a total wealth of 30 million Korean won for three years was created in July 2018, which will be operated as a temporary project until 2021. As of 2018, about 100,000 young people have newly subscribed to the two-year or three-year plans. Starting from 2019, high-income earners will be restricted from subscription. Also, workers with a monthly wage of more than 5 million Korean won including overtime pay are not eligible for subscription to the program.

2. *Youth Job Search Allowance* (청년구직활동지원금)

Youth Job Search Allowance was designed to help youth to plan their own career and focus on their job search activities. An allowance of 500,000 KRW a month is provided to young people engaging in job search activities for a maximum of six months. This system was designed in consideration of Korea's youth labour market and their job search patterns. That is, Korea has a large share of highly-educated adults (the university enrolment rate of Korea is 69% compared to 43% in OECD) and many are hired through open recruitment test. Also, according to surveys among young people, the expense incurred during job search was cited as the biggest difficulty in their job search activities. To avoid duplications with other similar programs run by local governments, it is targeted for young graduates within two years after graduation. To ensure an efficient execution of the limited budget, the target population was limited to young people earning 120 per cent or less of the median income.

3. *Subsidy for the Right Job for the “New Middle-Aged”* (신중년적합직무고용장려금)

“Subsidy for the Right Job for the New Middle-Aged” is designed to create decent work for the “new middle-aged” by subsidizing the labour costs of businesses which hire people aged 50 and older for the right jobs for them. The right jobs for the new middle aged refer to those suited for their characteristics and career backgrounds, contributing to their re-entry to the labour market. Subsidy for the Right Job for the New Middle-Aged targets businesses eligible for preferential support and small and mid-sized businesses under the Employment Insurance Act. The Subsidy amounts to KRW 800 000 for businesses eligible for preferential support and KRW 400 000 for small and mid-sized businesses per month for up to one year.

4. *Hope Growing Account* (희망키움통장)

Hope Growing Account is an asset-building support program for low-income families which provides labour incentives and helps recipients save money to become self-sufficient. The First Hope Growing Account was introduced in 2010 and targeted at NBL households whose total household incomes are above 60% of 40% of the median income and have (at least more than one) working family member. Through this Account, they receive the incentives to work as well as the support to save up money to become self-sufficient. The Second Hope Growing Account was introduced in 2014 for families near the poverty line with the income under 120% of the minimum cost of living and the total earned income above 70% of the minimum cost of living.

In 2014, Hope Growing Account 2 was introduced. The person eligible to open the Account includes families receiving housing or education benefits, and others near the poverty line who are at or below 50% of the median income. To maintain the Account, their earned income must be at or below 70% of the median income. Hope Growing Account 2 aims to prevent the working poor from becoming livelihood and medical benefit recipients and help them move up to the middle class.

Annex 2: Special measures in the context of the COVID-19 pandemic

1.1. *Employment retention subsidy (고용유지지원금)*¹²

The Employment retention subsidy programme has been in place since 1995. Due to the spread of COVID-19, the requirements for the programme have been relaxed effective from January 29 until the day the national infectious disease risk alert level is lifted.

1.1.1. *Entitlement and eligibility conditions*

Firms must reduce employees' working time between 20% and 100%. Firms must experience at least a 15% reduction in sales or 15% reduction in production or 50% increase in inventory.

During the COVID-19 Pandemic, these conditions have been relaxed. Firms directly hit by COVID-19 are recognized as "inevitable employment adjustment firms" without having to experience a 15% reduction in sales.

The shutdown period shall reduce more than 20% of the total working hours, and one month or longer leave of absence should be used.

1.1.2. *Benefit amounts*

In Korea, the employer shall pay the employees concerned "business shutdown allowance" of at least 70% of their average wage during the shutdown period (Article 46 (1) of the Labor Standards Act). Thus, employees receive at least 70% of their average wages (regardless of the wage level) from employers. Employment retention subsidy, which is financed by Employment Insurance Fund, is a government support programme for employers under a temporary setback to help them with labour costs. The government subsidizes one-half to two thirds of a company's shutdown allowance if the business keeps its employees on a paid leave or leave of absence programmes at an event of temporary management crisis. The maximum amount of support per day is KRW 66 000 per worker.

Because of the COVID-19 Pandemic, the government has raised the level of support from one-half of allowance paid by employer to two-thirds for large companies, and from two-thirds to three-quarters for SMEs during the six months from February to July 2020. The government decided to further increase the level of subsidy for six months (from April to September) up to 90 percent of allowance paid for SMEs.

1.1.3. *Benefit duration*

The maximum duration in 2020 was extended by 60 days and the paid Employment Retention Subsidy is provided for 240 days.

1.1.4. *Means test*

Not applicable.

¹² Not modelled in TaxBEN.

1.1.5. *Tax treatment*

1.1.6. *Interactions with other components of the tax-benefit system*

1.1.7. *Combining benefit receipt and employment/starting a new job*

1.2. *Job Stability Funds (일자리 안정 자금)*¹³

1.2.1. *Eligibility conditions*

The Job Stability Funds programme is designed to provide support to business owners employing less than 30 persons. Exceptions apply to businesses with more than 30 employees for the vulnerable groups in the labour market. To be specific, exceptions are granted for cleaners and janitors of multi-family housing, the elderly aged over 55, persons employed to social enterprises, vocational rehabilitation facilities for persons with disabilities, self-support enterprises, and institutions providing activity assistant services to persons with disabilities.

One of the requirements for the programme is that employees with a monthly average wage of KRW 2.15 million or less be employed for more than one month. Other requirements include that the employer comply with the minimum wage; subscribe to employment insurance if eligible; maintain wage levels of existing employees; make efforts to maintain employment.

1.2.2. *Benefit amount*

The maximum amount of subsidies provided for the 2020 Job Stability Funds programme is KRW 110,000 per employee for businesses with less than five employees; KRW 90,000 per employee for businesses with five or more employees. In addition, as the revised supplementary budget was formulated, an additional subsidy of KRW 70,000 per employee will be provided to businesses with less than 10 employees and KRW 40,000 per employee to businesses with 10 more employees for employment during February to May. The subsidies for part-time employees and daily workers (or lay labourers) are calculated and provided in proportion to their contractual work hours per week and working days, respectively.

1.2.3. *Benefit duration*

As long as a business is employing the persons eligible for the support programme, the government subsidies will be continuously provided within the given year.

1.2.4. *Means test*

Self-employed business owners are eligible for the subsidy if their business income for the year is KRW 300 million or less, and corporate business owners are eligible for the subsidy if their net profit is KRW 300 million or less.

¹³ Not modelled in TaxBEN.

1.2.5. *Tax treatment*

Not applicable

1.2.6. *Interaction with other components of the tax-benefit system*

Not applicable

1.2.7. *Combining benefit receipt and employment / starting a new job*

Not applicable

1.3. *Working Hour Reduction Subsidy (근로시간 단축 지원금)*¹⁴

1.3.1. *Entitlement and eligibility conditions*

The Korean government provided support for employers who systematically allowed their full-time workers to reduce contractual work hours for a certain period of time and return to full-time work when the COVID-19 crisis ends.

The government granted compensation for reduced wages, indirect labour costs, and replacement labor costs for employers who allowed workers who have been employed for more than 6 months and worked for more than 30 hours, the prescribed working hours per week for 3 months before working hour reduction to reduce their working hours for 1 hour or more from a minimum of 15 hours to a maximum of 35 hours per week.

During the COVID-19 crisis, to expedite the implementation of contamination measures, the eligibility condition has been relaxed, from workers with six months of service or longer to workers with one months of service or longer.

This enabled workers with six months or shorter periods of service who had to reduce their work hours to take care of their family members to benefit from the programme.

1.3.2. *Benefit amount*

Employers who provide compensation (entire or partial) for reduced wages to their workers will be reimbursed up to KRW 240,000-400,000 depending on the shortened work hours of a worker, and an indirect labour cost of KRW 200,000 each month will also be provided. For employers hiring replacement, the government provides up to 80% of replacement labour costs for up to KRW 600,000.

After the COVID-19 crisis, the Korean government significantly raised the compensation for reduced wages up to KRW 400,000-600,000 each month from March to December 2020, and also increased the indirect labour cost up to KRW 400,000 each month. The replacement labour costs were also increased up to KRW 800,000.

1.3.3. *Benefit duration*

The subsidy can be provided up to a year.

¹⁴ Not modelled in TaxBEN.

1.3.4. Means test

Not applicable

1.3.5. Tax treatment

Not applicable

1.3.6. Interaction with other components of the tax benefit system

Not applicable

1.3.7. Combining the benefit with employment / starting a new job

Not applicable

1.4. Job Search Promotion Subsidy (취업촉진수당)*1.4.1. Entitlement and eligibility conditions*

Eligibility: Recipients of job-seeking benefits. Requirements:

Early Re-employment Allowance: Those who have found a new job and continued to work in that job for 12 consecutive months with at least half of the number of days remaining in which they were eligible to receive job-seeking benefits will receive this type of allowance.

Vocational Skills Development Allowance: Those who participate in training programmes under the instruction of an employment security office will receive this type of allowance on the date of their participation.

Long-Distance Job Search Allowance: Those who conduct a long-distance job search in regions 25 kilometres away from their place of residence in accordance with guidance from an employment security office will receive this type of allowance.

Relocation allowance: Those who relocate to take up a job or participate in vocational skills development training, etc. will receive this type of allowance.

1.4.2. Benefit amount

Early Re-employment Allowance: Half of the job-seeking benefits for the remaining number of days

Vocational Skills Development Allowance: KRW 7,530 per day

Long-Distance Job Search Allowance: Transportation expenses

Relocation allowance: Expenses for hiring a moving truck driver (up to 7.5 ton truck)

1.4.3. Benefit duration

Single payment

1.4.4. Means test

Not applicable

1.4.5. *Tax treatment*

Non-taxable

1.4.6. *Interaction with other components of the tax benefit system*

Not applicable

1.4.7. *Combining the benefit with employment / starting a new job*

Can find a new job

1.5. *Emergency Employment Stability Subsidy (긴급고용안정지원금)*¹⁵

1.5.1. *Entitlement and eligibility conditions*

- The dependent self-employed and freelancers: Persons who are not subscribed to the Employment Insurance who worked as a dependent self-employed or a freelancer during December 2019 to January 2020.
- Microbusiness owners: Persons who are not subscribed to the Employment Insurance who operated a microbusiness employing less than five regular employees during December 2019 to January 2020.
- Persons on an unpaid leave: Persons who are subscribed to the Employment Insurance and employed to a business with less than 50 regular employees that went on an unpaid leave during March to May 2020.

1.5.2. *Means test*

Conditions for section one subsidy

Household income: Less than 100% of the Standard Median Income.¹⁶ Individual annual income of KRW 50 million or less, or annual sales of KRW 150 million or less. Standard Median Income:

Conditions for section two subsidy

Household income: More than 100% and less than 150% of the Standard Median Income

Individual annual income of more than KRW 50 million and less than KRW 70 million, or annual sales of more than KRW 150 million and less than KRW 200 million

1.5.3. *Requirements for the programme*

Recipients of section one subsidy

¹⁵ Not modelled in TaxBEN.

¹⁶ The term “standard median income” means the median value of the national household income publicly notified by the Minister of Health and Welfare through deliberation and resolution by the Central Livelihood Security Committee under Article 20 (2) in order to utilize it as one of the criteria for benefits. Article 2.11 of the National Basic Living Security Act.

- The dependent self-employed, freelancers, and microbusiness owners: Persons whose income was reduced by 25% or more during March-April 2020 compared to December 2019~January 2020.
- Persons on an unpaid leave: Persons whose days of unpaid leave during March-May 2020 is more than 30 days or persons whose days of unpaid leave is more than five days each month.

Recipients of section two subsidy

The dependent self-employed, freelancers, and microbusiness owners: Persons whose income was reduced by 25% or more during March-April 2020 compared to December 2019~January 2020.

- Persons on an unpaid leave: Persons whose days of unpaid leave during March-May 2020 is more than 45 days or persons whose days of unpaid leave is more than ten days each month.

1.5.4. *Benefit amount*

KRW 1.5 million

1.5.5. *Benefit duration*

Single payment

1.5.6. *Means test*

Uses the Public Information Sharing System or reviews the information submitted by the applicants of the subsidy

1.5.7. *Tax treatment*

Non-taxable

1.5.8. *Interaction with other components of the tax benefit system*

Not applicable

1.5.9. *Combining the benefit with employment / starting a new job*

Can find a new job

1.6. *Emergency Family Care Leave Subsidy (자녀돌봄비용)*¹⁷

1.6.1. *Entitlement and eligibility conditions*

The programme is implemented for workers who went on a family care leave pursuant to Equal Employment Opportunity and Work-Family Balance Assistance Act due to issues related to COVID-19, from the date the first confirmed COVID-19 case was reported in Korea (January 20, 2020) to the day termination of the COVID-19 situation is declared.

¹⁷ Not modelled in TaxBEN.

1. In case the worker's grandparents, parents, spouse, children, grandchildren (only for families composed of grandparents and grandchildren) are in urgent need for care as they are COVID-19 confirmed case, suspected case, or Patient Under Investigation (PUI);
2. In case the worker's child who is 8 years old or younger, child in second grade in elementary school or younger (grandchildren for families composed of grandparents and grandchildren), or child with disabilities who is 18 years old or younger (grandchildren for families composed of grandparents and grandchildren) are in urgent need for care for one of the following reasons:
 - a. In case the childcare centre, kindergarten, school, or welfare facility for people with disabilities that their child attends has been temporarily closed, shut-down, delayed the opening of school year, operated remote learning, opening schools every other day (week), or divided classes due to COVID-19.
 - b. In case the child was subjected to stop going to school or kindergarten or received similar measures.
 - c. In case the child was subjected to self-isolation.

1.6.2. Benefit amount

For employers of firms subject to Preferential Support, a subsidy of KRW 50,000 per day (total KRW 750,000) is provided within 15 days after the application was filed. A married couple in which both the husband and wife are employed can receive up to KRW 1.5 million. A single-parent worker can receive up to 20 days (total KRW 1 million).

For employers of large firms and public institutions, a subsidy of KRW 50,000 per day is provided up to 10 days after the application was filed, and a married couple in which both the husband and wife are employed can receive up to KRW 1 million within 20 days.

1.6.3. Benefit duration

Applications to receive the subsidy can be filed until December 20, 2020.

1.6.4. Means test

Not applicable.

1.6.5. Tax treatment

Not applicable.

1.6.6. Interaction with other components of the tax benefit system

Not applicable.

1.6.7. Combining the benefit with employment / starting a new job

The recipients of this subsidy are workers who are already employed. For part-time work system: The subsidies for part-time employees are calculated and provided in proportion to their work hours. For persons with contractual work hours with less than 20 hours, a fixed amount of KRW 25,000 a day will be provided.

